

Opinion The FT View**France meets fiscal reality with a crunch**

A surge in borrowing costs leaves the country on the edge of a debt spiral

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Sébastien Lecornu is preparing France's 2027 budget as investors grow increasingly concerned about its public finances © Sarah Meyssonier/Reuters

The editorial board

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“Reality is catching up with us,” French Prime Minister Sébastien Lecornu warned this week on the eve of presenting the 2027 budget. Lecornu was referring to this year's surge in government borrowing costs which aggravates France's fiscal woes just as it enters the presidential election campaign. Amid a broader debt market sell-off, France has become a focal point of investor jitters about debt sustainability.

France's debt-to-GDP ratio now stands at 119 per cent. Its 10-year bond yields this week climbed above 4.9 per cent, the highest in the Eurozone, from 3.6 per cent in early July. The premium that Paris must pay compared with German debt has risen sharply to more than 125 basis points, the highest level since the peak of the Eurozone crisis in 2012. A country that has not run a budget surplus since 1974 is now paying dearly for its profligacy.

The draft budget would make total [savings of €54bn next year](#), including [€43bn of new measures](#), in a mixture of tax rises and spending cuts. That should be enough to trim the deficit from 5.4 per cent to 5 per cent, a target France was supposed to hit in 2026 but, as in so many previous years, has missed. Lecornu's minority government could push the budget through by decree, at the risk of being toppled in a censure vote, but the plan will soon be overtaken by next spring's presidential vote. Investors are paying less attention to a temporary fix at the tail-end of Emmanuel Macron's presidency and more to the political and fiscal developments that follow. They don't like what they see.

The first concern is the structural deterioration in the public finances. On current policies, the deficit would hit 6.8 per cent by 2030, according to a government-appointed [commission](#), as spending is driven up by population ageing and rising interest costs. Debt servicing would eat up €124bn in 2030, the commission estimated, 60 per cent more than France's defence spending.

The second worry is the inability of France's political class to find some kind of majority for fiscal retrenchment. As the election campaign begins, the populists have the momentum while a divided centre is struggling to gain traction. It has become impossible for candidates to ignore France's debt problem, but their answers mostly lack credibility. Whoever wins the presidency may not secure a majority in follow-up parliamentary elections, meaning more political deadlock.

The worst-case scenario for debt investors would be a run-off between the far-left Jean-Luc Mélenchon and the far-right Marine Le Pen. Mélenchon has proposed cancelling government debt held by France's central bank, which would send fear rippling across debt markets. Le Pen has committed to a 3 per cent deficit ceiling but lacks anything like a serious plan for the €140bn or so in annual savings needed to get there by 2032.

The centre-left wants to pile more taxes on businesses and the wealthy despite the inevitable hit to investment and jobs. Thankfully, Édouard Philippe, the leading centrist candidate, injected some sanity into the race this week by proposing to raise the retirement age to 65 and the contribution period for a full pension to 45 years. It is only a start, but a bold gamble in the current climate.

Since France is too big to fail, investors expect the European Central Bank to eventually intervene in case of crisis, keeping a lid on yields. The ECB has the tools and could step in to prevent contagion to other Eurozone sovereigns. But it would also face stiff opposition in other capitals to bailing out a country that has repeatedly failed to get its house in order, especially if led by a president who is at loggerheads with the EU on other fronts. The market squeeze and France's fiscal pain could get much worse before any rescue.

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